KERALA STATE ELECTRICITY REGULATORY COMMISSION

THIRUVANANTHAPURAM

Present : Sri T K Jose, Chairman
Adv. A J Wilson, Member
Sri B Pradeep, Member

OP 02/2025

In the matter of : Truing Up of Accounts of M/s Rubber Park India Private Limited for the Financial Year 2023-24.

Petitioner : M/s Rubber Park India Private Limited (RPIL)

Represented by : Sri. George.V.James, Managing Director
Sri. M S Samuel, CFO & CS
Sri. Anees T.M, Asst. Manager (Electrical)

Respondent : M/s Kerala State Electricity Board Limited

Represented by : Sri. Rajesh, Asst. Executive Engineer, KSEB Ltd
Smt. Biji Christudas, Asst. Engineer, KSEB Ltd

Date of hearing : 30-01-2025

ORDER DATED 16-09-2025

1. M/s. Rubber Park India (P) Limited (hereinafter referred to as RPIL or the licensee or petitioner), is a distribution licensee regulated by the Kerala State Electricity Regulatory Commission (hereinafter referred to as the Commission) under the Electricity Act, 2003 for distribution of electricity to the Industrial units within the industrial park at Valayanchirangara near Perumbavoor in Ernakulam District.

2. The Commission had notified the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021 for the five-year Control Period starting from the first day of April 2022 and ending on the thirty first day of March 2027. M/s Rubber Park India (P) Limited has filed the petition for truing up of accounts for the year 2023-24 (the second year of the Control Period) as per the provisions of the KSERC (Terms and Conditions for determination of Tariff) Regulations 2021. The Commission vide Order in OP No 08/2023 dated 23.11.2023 has approved the ARR&ERC for the Control Period. In the petition for truing up the accounts based on audited accounts, the licensee has **claimed a revenue gap of Rs.54.25 lakh** compared to revenue gap of Rs.1.36 lakh approved by the Commission in the Order on ARR&ERC**.** A comparison of the claim made in the present petition with the ARR&ERC approved by the Commission and with the previous year is tabulated below.

Table 1
Comparison of ARR & ERC and Truing Up for 2023-24 (Rs. Lakh)

Particulars	ARR Projected	ARR Approved	For Truing Up
Purchase of power	2220.95	2213.30	2037.23
Employee Cost	100.9	74.87	73.11
R & M Expenses	47.10	44.78	50.81
A & G Expenses	58.68	20.34	56.64
Depreciation	35.67	29.80	31.77
Interest & Fin Charges/ bank Charges	0.98	0.93	1.05
Interest on normative loan	53.18	10.17	61.68
ROE	47.24	37.80	46.33
Tax on ROE	17.34	-	13.03
Total Expenditure	**2582.04**	**2431.99**	**2371.66**
Revenue from sale of Power	2390.46	2390.46	2303.50
Wheeling Charges and Other Income	4.20	40.17	13.92
Total Income	**2394.66**	**2430.63**	**2317.42**
Revenue surplus (+) / gap (-)	**(-) 187.38**	**(-)1.36**	**(-)54.25**

Table 2
Comparison of Truing Up for 2021-22, 2022-23 and 2023-24 (Rs. Lakh)

Particulars	2021-22		2022-23		2023-24
	For Truing Up	Trued Up	For Truing Up	Trued Up	For Truing Up
Purchase of power	1825.07	1831.09	1953.81	1953.81	2037.23
Employee Cost	61.68	60.55	77.35	73.46	73.11
A & G Expenses	57.37	32.70	55.87	28.93	56.64
R & M Expenses	48.01	45.81	60.74	52.62	50.81
Depreciation	27.66	27.66	30.06	30.06	31.77
Interest & Fin Charges / bank Charges	0.52	0.52	0.94	0.94	1.05
Interest on normative loan	59.19	13.20	61.59	10.96	61.68
ROE	44.46	37.80	46.23	37.80	46.33
Tax on ROE	11.67	0.00	12.35	-	13.03
Total Expenditure	**2135.64**	**2049.33**	**2298.94**	**2188.58**	**2371.66**
Revenue from sale of Power	2173.56	2173.56	2226.11	2226.11	2303.50
Wheeling Charges	3.47	3.47	19.32	54.66	13.92
Non-Tariff income	10.52	35.86			
Total Income	**2187.55**	**2212.89**	**2245.43**	**2280.77**	**2317.42**
Revenue surplus (+) / gap (-)	**(+)51.92**	**(+)163.56**	**(-)53.51**	**(+)92.19**	**(-)54.25**

3. The Commission admitted the petition as **OP No.02/2025.**

Hearing on the Petition

4. The hearing on the petition was conducted at the Court Hall, Office of the Commission on 30-01-2025. Sri George V James, Managing Director, Sri. M S Samuel, CFO & CS and Sri Anees T M, Asst. Manager (Electrical) participated in the hearing representing the licensee.

5. Sri. Anees, presented the details of the petition on the Truing Up of Accounts for the year 2023-24. The important submissions made by licensee during the hearing are summarized below.

   a. The total energy sales for the year 2023-24 as per the petition is 321.20 lakh units which includes wheeled power of 5.00 lakh units to M/s. M Fuel.

   b. The power purchased during the year is 326.52 lakh units and the distribution loss for the year is 1.62%.

   c. The power purchase cost incurred for the year 2023-24 is Rs. 2037.23 lakh for the purchase of 326.52 lakh units

   d. The employee cost booked for the year 2023-24 amounts to Rs.73.11 lakh.

   e. The Repair and maintenance cost claimed for the year 2023-24 amounts to Rs.50.81 lakh which includes Rs.6.17 lakh as one-time expense.

   f. The A&G expense booked by the licensee during the year 2023-24 is Rs.56.64 lakh which includes Rs.18.79 lakh as Section 3 duty.

   g. The licensee has claimed an asset addition of Rs.8.99 lakh for the year and the depreciation claimed is Rs.31.77 lakh.

   h. The licensee has claimed Rs.62.73 lakh towards interest and finance charges in the Truing Up petition for 2023-24 including Rs.61.68 lakh as interest on normative loan and Rs.1.05 lakh as bank charges for the security provided to KSEB Ltd.

   i. The return on equity claimed by the licensee amounts to Rs 46.33 lakh which is calculated at the rate of 14% on 30% of the equity at the beginning of the year and on pro rata basis for the assets put to use during the financial year.

   j. The tax on RoE claimed by the licensee for the year is Rs. 13.03 lakh

   k. The total revenue from sale of 316.18 lakh units accounted by the licensee is Rs.2303.50 lakh. The licensee has also accounted wheeling charge of Rs. 3.26 lakh for wheeling 5.00 lakh units to M/s M Fuel.

   l. The non-tariff income booked by the licensee amounts to Rs.13.92 lakh which includes interest income, miscellaneous receipts and commission for collection of Electricity Duty. Wheeling charges of Rs.3.26 lakh is also included in the non-tariff income.

   m. There is a revenue gap of Rs.54.25 lakh for the year 2023-24.

6. KSEB Ltd submitted their comments on the petition and the details are shown below.

a. The licensee has mentioned that though the number of sales of LT VI B has increased but the revenue has shown decrease even when there was tariff revision during the year. It was also mentioned that there was decrease in the average realization of Street light category.

b. Distribution loss is higher than the approved limit and submitted that the distribution loss is to be limited to the approved level.

c. The O&M expenses claimed by the licensee are higher than the norms approved by the Commission. O&M being a controllable expense shall be limited to the norms.

d. With regard to claim on employee expenses, it was submitted that the Commission shall take a consistent stand with regard to expenses of CGRF as done while truing up the accounts for 2022-23.

e. The claim of the licensee under R&M expense is higher than the norms approved by the Commission and the claim shall be approved only after prudence check.

f. Electricity Duty under section 3(1) is also claimed in the A&G expenses. The Commission may adopt uniform approach regarding sec 3(1) duty.

g. With regard to asset addition made during the year and deprecation amount may only be approved after prudence check

h. Interest on normative loan may be allowed only after finalization of asset addition and depreciation.

i. RoE may be allowed based on the decision of the Commission allowing return for the actual capital employed of Rs.900 lakhs.

j. The quantum of energy purchased for 2023-24 tally with the records of KSEB Ltd. It was further stated that the demand charge and energy charge claimed by the licensee do not tally with the accounts of KSEB Ltd as the details of M/s M fuels, the open access consumer of KSEB Ltd mismatches with the details provided by the licensee.

k. Since the licensee has submitted no evidence to prove that the income tax on account of electricity distribution business has actually been paid, the Commission shall consider the same stand as done in previous years.

l. Licensee has not accounted the interest on accumulated surplus as part of non-tariff income. The same is to be considered as part of non-tariff income as done by the Commission.

7. The licensee vide letter dated 04.02.2025 submitted their counter to the comments submitted by KSEB Ltd.

   a. KSEB Ltd. has pointed out a decrease in revenue despite an increase in sales under the LT VI B category and a decrease in the average realization of streetlights compared to the previous year, as per Form D 2.1 of the petition. RPIPL clarified that this discrepancy arose due to rounding off energy sales figures to two decimal places, as mandated by MYT Regulations 2021, which require reporting in MU. Since the sales volumes in these categories are minimal, rounding led to misleading variations in reported figures. RPIL confirmed that the revenue was accurately recorded in the Truing Up petition and that the variation in average realization was solely due to rounding.

   b. In case of distribution loss, the licensee has submitted that KSEB Ltd. supplied open access power to M/s. M Fuel through RPIPL's 11 kV network without installing a proper meter as per CEA regulations, instead adjusting consumption from RPIPL's 110 kV meter. RPIPL flagged discrepancies and a faulty CT was confirmed by KSEB's test in August 2023, recommending bill revision from March 2023. Despite repeated requests, corrected bills were not issued, and inaccurate calculations were shared only in August 2024. The matter was escalated in the Coordination Forum, but remains unresolved. Including the under-billed 30,636 kWh would revise FY 2023-24 distribution loss to 1.53%, matching the approved target.

   c. The CGRF expenses of Rs. 16.11 Lakh has been withdrawn and the recalculated form - Form D.3.4 (a) is submitted. The revised Employee Expenses would be Rs.60.02 Lakh instead of Rs. 73.11 Lakh.

   d. Incase of Repair and Maintenance expense KSEB Ltd has pointed out that a one-time repair on the same transformer was claimed by RPIPL in FY 2022-23, and another repair was claimed for FY 2023-24. RPIPL clarified that the material purchase (transformer oil and gaskets) was made in FY 2022-23 and booked as one-time R&M expenses, while the actual repair work, delayed due to re-tendering, was completed in FY 2023-24 and booked accordingly. Thus, the same repair was executed over two financial years, with costs accurately accounted for in the respective Truing Up petitions.

   e. Incase of Administration and General expenses RPIPL has submitted that, the company has remitted Rs.221.64 Lakh as Section 3(1) Duty from FY 2010-11 till FY 2023-24. But the Commission is calculating the surplus without considering Section 3(1) duty paid. Further, Interest on the revenue surplus is calculated without considering Section 3(1) duty. Thus, interest is charged on an amount which is not available with the company and requested the Commission to calculate interest on the revenue surplus after deducting Section 3(1) duty paid.

f. Regarding the comment made by KSEB Ltd on asset additions submitted by the licensee, the licensee states that, as per Clause C of Annexure 4 of the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, RPIPL is required to submit a capital investment plan only for investments exceeding Rs.15.00 lakh. Since the cost of the LED TV is only Rs.0.54 lakh, it was not included in the Capital Investment Plan.

g. With regard to depreciation, RPIPL has computed depreciation for FY 2023-24 as per Regulation 27 of the MYT Regulations 2021, following the straight-line method. The actual depreciation amounted to Rs.31.77 lakh.

h. In response to KSEB Ltd.'s comment on Return on Equity, the licensee clarified that the power distribution business is fully funded through Rs.20 crore equity from KINFRA and the Rubber Board, with no grants availed, and hence no separate equity document exists.

i. In the remarks of KSEBL, they have commented on non tariff income under the head "Interest on normative loan'. The licensee has stated that, the interest on normative loan and non-tariff income are shown separately in the petition.

j. The demand charges and energy charges didn't tally with KSEB Ltd' s accounts, with regard to this the licensee has stated that, the difference in demand charges of Rs.3.30 lakh arises from enhanced charges for the period December 2022 to March 2023, billed in October 2023 and accounted in FY 2023-24. The Rs.33.14 lakh difference in energy charges is due to RPIPL accounting based on actual KSEBL bills, with month-wise details and PF incentives/penalties provided in Annexure-3.

k. As a separate legal entity, RPIPL remits income tax under a single PAN and cannot provide segment-wise tax payment proof. It is requested that comparisons with KSEB Ltd's IT returns not be applied to RPIPL.

l. The Rs.796.94 lakh reported is the regulated surplus, not the actual surplus, as it excludes amounts deposited with KSEBL, Section 3 duty paid, and unapproved expenses. The actual bank interest earned is Rs.1.34 lakh, disclosed in Form D 2.4 of the Truing Up petition.

8. **Considering the revision in the employee cost in view of the withdrawal of the CGRF expenses to the tune of Rs. 16.11 Lakh, the employee cost is Rs.60.02 lakh, the total expenditure for the year will be Rs.2358.56 lakh. The revised revenue gap for the year is Rs.41.14 lakh as against the revenue gap of Rs.54.25 lakh filed in the petition.**

9. To arrive at the NFA eligible for normative loan and depreciation for the year 2023-24 in accordance with the Order of the Commission dated 03.07.2025, in

remand of OP 14/2018 and OA 11/2017, additional details were sought from the licensee. The licensee vide letter dated 19.08.2025 furnished the following details:

Table 3
Details submitted (Rs. lakh)

Year	Total Fixed Assets of RPIL at the end of the year	Cumulative lease premium collected	Reserves & Surplus at the end of the year	GFA of Distribution business at the end of the year
1	2	3	4	5
2016-17	2194.91	1878.05	978.39	995.89
2017-18	2234.22	1973.70	1153.06	1012.02
2018-19	2336.28	1975.24	883.51	1027.48
2019-20	2385.33	2643.44	1574.39	1042.70
2020-21	2633.04	2719.02	1574.30	1044.31
2021-22	3235.78	4170.59	2674.85	1098.61
2022-23	5105.93	4173.67	3492.29	1101.19
2023-24	3952.36	4639.59	2739.84	1109.75

10. On Comparison of the data as above furnished by the licensee and the balances in the audited financial statements, the Commission noticed that the Total Fixed Assets (Column 2) include capital Work in Progress also. Similarly, the cumulative lease premium collected (column 3) do not tally with the lease premium booked in the Profit and Loss account. Therefore, the Commission decided to go by the figures in the audited financial statements submitted by the licensee and also excluding Capital Work in Progress as Tariff Regulations 2021 do not permit inclusion of capital Work in Progress under GFA. As such, the modified figures are considered in table 24.

Analysis and decision of the Commission

11. The Commission considered the petition of the licensee for Truing Up of Accounts for the year 2023-24 along with the additional clarifications furnished by the licensee, the clarifications provided in the public hearing, the comments of KSEB Ltd, the counter of the licensee to the comments of KSEB Ltd, the revision made by the licensee and the additional details furnished. The analysis and decisions of the Commission as per the provisions of the Tariff Regulations, 2021 on the petition for Truing Up of Accounts for the year 2023-24 are detailed below.

Sales and Consumer mix

12. The total energy sale as per the petition for Truing Up of Accounts for 2023-24 is 316.20 lakh units. A comparison of the actual sale of power and category wise number of consumers for the year 2022-23 and 2023-24 is given below.

Table 4
Comparison of Energy Sales and No of Consumers for 2022-23 and 2023-24

Category	2022-23- Trued Up		2023-24 - Truing Up	
	Number of Consumers	Sales in Lakh Units	Number of Consumers	Sales in Lakh Units
LT IV A	25	23.96	24	32.10
LT VI B	1	0.19	1	0.20
LT VI F	12	1.26	13	1.25
LT VII A	6	0.25	7	0.40
LT VI G	-	-	1	0.03
Street Light	6	0.21	1	0.40
HT-1 A	23	289.28	25	281.82
Sub Total	**73**	**315.15**	**72**	**316.20**

13. Compared to the previous year there is a total increase of 1.05 lakh units in sales. Major sale of the licensee is to HT I-A consumers. ***After examining the details furnished and the submission of the licensee, the Commission hereby approves the energy sales of 316.20 lakh units for the year 2023-24 as claimed by the licensee.***

Distribution loss

14. As per Regulation 73, the licensee is to provide voltage level wise distribution loss and distribution loss reduction trajectory for the Control Period with supporting studies along with the application. The Commission has to approve the target level of losses based on the opening level of losses, the figures filed by licensee and other relevant factors. The licensee in the ARR & ERC petition had proposed a distribution loss of 1.90% for each year of the Control Period. The Commission considering the fact that the distribution loss reduction is a factor having direct impact on power purchase cost and available energy for distribution viewed that it is a criterion that the licensees should continuously strive to improve upon and in the ARR & ERC Order dated 23-11-2023 had approved T&D loss target of 1.50% for each year of the Control Period.

15. M/s. M Fuel is a consumer of KSEB Ltd and is located outside the area of license of M/s RPIL. Thus, the sale of energy to M/s M fuel cannot be considered as part of the sales of M/s RPIL. However, considering that KSEB is wheeling the energy supplied to M/s M Fuel through the distribution network of M/s RPIL, the said sale volume is considered for arriving at the distribution loss in the area. Thus, the energy requirement for the year including wheeling energy is 326.52 lakh units and the energy sales is 321.20 lakh units.

16. The licensee in the truing up petition for 2023-24 has claimed the distribution loss as 1.62% which is higher than the normative loss fixed for the year. The actual distribution loss for 2021-22 and 2022-23 was also 1.50% which was approved while truing up the accounts. The details are tabulated below.

Table-5
Comparison of Distribution loss for 2022-23 & 2023-24

Particulars	2022-23		2023-24	
	ARR Approved	Claimed and trued up	ARR Approved	For Truing up
Energy Requirement (In lakh Units)	336.55	325.03	346.40	326.52
Energy Sales (In lakh Units)	331.50	320.28	341.20	321.20
Distribution loss (In lakh Units)	5.05	4.75	5.20	5.32
Distribution loss %	**1.50%**	**1.50%**	**1.50%**	**1.62%**

17. The licensee in the petition has stated that the loss of 1.62% includes the unrecorded consumption during the meter fault period of the open access consumer of KSEB Ltd., M/s. M Fuel. KSEB Ltd has availed open access power supply from the 11 kV ring main distribution network of RPIPL for their consumer M/s. M Fuel. The billing for M/s. M Fuel is conducted at the 11 kV voltage level. Consequently, KSEB Ltd had deducted the said consumption, along with losses from the energy consumption recorded in the RPIL meter at the 110 kV voltage level to determine the billing consumption for RPIL. However, there was under recording of consumption at the consumer's point due to fault in the CT of Y phase. M/s RPIL pointed out the discrepancy to KSEBL and after meter testing, KSEBL has confirmed the error in the meter. The licensee has requested KSEB Ltd to revise the billing and they provided a set of calculations only in August 2024, one year after the discrepancy was confirmed by the field unit of TMR of KSEB Ltd. However, these calculations contained inaccuracies, RPIPL requested further revisions to correct these errors, monthly demand notices and reconciliation statement. RPIL has also stated that KSEB Ltd had billed 30,636 kWh less than the actual recorded consumption of M/s. M Fuel in the boundary meter at RPIL's periphery. If this discrepancy is rectified in RPIPL's energy sales, the actual distribution loss for 2023-24 would be only 1.53%. The licensee had also stated that RPIL have deducted the short bill amount of Rs.2.34 lakh with interest of Rs.0.28 lakh during October 2024.

18. Reduction of distribution loss is an important performance parameter which has a direct impact on power purchase cost and energy available for distribution; it is a criterion that the licensee should continuously strive to improve upon. Distribution loss is a controllable parameter as per Tariff Regulations, 2021. Regulation 73(3) clearly specifies the methodology to be considered to account for any variation between the actual level of distribution loss and the approved level of the distribution loss. The relevant portions of the Regulation are as shown below:

73. Distribution loss...

.....

(3) Any variation between the actual level of distribution loss and the approved level of the distribution losses shall be dealt with, as part of the truing up of the respective financial year in the following manner: -

i. *if the actual distribution loss is higher than the approved level of distribution loss for any particular financial year of the control period, then the quantum of power purchase corresponding to the excess distribution loss for that financial year shall be disallowed at the average cost of power purchase for the respective financial year;*

ii. *if the actual distribution loss is lower than the approved level of distribution loss for any particular financial year of the control period, then the savings in the power purchase cost corresponding to the difference in distribution loss for that financial year at the average cost of power purchase for the respective financial year, shall be shared between the distribution business/licensee and the consumers in the ratio of 2:1*

19. Accordingly, as per the provisions of the Tariff Regulations, distribution loss is a controllable performance parameter. As per regulation 73(3) of the Tariff Regulations, 2021, if actual distribution loss is higher than the approved level, the quantum of power purchased corresponding to the excess distribution loss shall be disallowed at the average power purchase cost. The licensee has provided certain calculations indicating a lower distribution loss, in case reconciliation of bills with KSEBL are carried out. However, admittedly the final reconciliation is not done so far. In the absence of reconciliation of figures among RPIL at KSEB Ltd, Commission is constrained to consider the distribution loss figure of 1.62% claimed in the true up petition. Therefore, ***the Commission hereby approves the distribution loss of 1.50% as approved in the ARR&ERC Order. The Commission also directs the licensee to strictly adhere to the approved ARR percentages as mentioned in the Commission's Order on ARR&ERC dated 23.11.2023 in OP 08/2023 for the rest of the Control Period. It is clarified that, once the energy transactions are reconciled among RPIL at KSEB Ltd, the same can be filed for the consideration for revision of distribution loss and power purchase costs, as applicable.***

Table 6
Approved distribution loss for 2023-24

Particulars	2023-24		
	ARR Approved	For Truing up	Trued Up
Energy Requirement (In lakh Units)	346.40	326.52	326.09
Energy Sales (In lakh Units)	341.20	321.20	321.20
Distribution loss (In lakh Units)	5.20	5.32	4.89
Distribution loss %	**1.50%**	**1.62%**	**1.50%**

Power Purchase Cost

20. The power purchase cost claimed by the licensee as per the Truing Up petition is Rs.2037.23 lakh for the purchase of 326.52 lakh units from KSEB Ltd. The Commission in the ARR&ERC Order had approved the cost of power purchase of Rs.2213.30 lakh for a purchase of 342.93 lakh units. The details of the claim made by the licensee are shown below.

Table 7
Power Purchase Cost claimed for 2023-24

Particulars	Approved in ARR 2023-24	As per Truing Up Petition 2023-24
Energy purchase (lakh units)	342.93	326.52
Demand Charge (Rs)	380	
Demand Charge (Rs in lakh)	327.18	284.62
Energy Charge (Rs/kWh)	5.50	5.50/5.65
Energy Charges (Rs in lakh)	1886.12	1786.84
Less Incentive (Rs in lakh)	-	34.22
Total Power Purchase Cost (Rs in lakh)	**2213.30**	**2037.24**

21. It is seen that the actual energy sales for the year is less than the projected sales for the year 2023-24. As such, the actual power purchase cost during the year 2023-24 is also lower than the power purchase cost approved for the year.

22. KSEB Ltd in their comments has stated that, the quantum of energy purchased for 2023-24 tally with the records of KSEB Ltd, whereas the demand charge and energy charge claimed by the licensee do not tally with the accounts of KSEB Ltd, as the details of M/s M fuels, the open access consumer of KSEB Ltd, mismatches with the details provided by the licensee. The licensee vide letter dated 04-02-2025 clarified that, the difference in demand charges of Rs.3.30 lakh arises from enhanced charges for the period December 2022 to March 2023, billed in October 2023 and accounted in FY 2023-24. The difference of Rs.33.14 lakh in energy charges is due to RPIL accounting based on actual KSEBL bills.

23. As per Regulation 73, excess distribution loss, shall be disallowed at the average cost of power purchase. Considering the approved distribution loss in para 19 and the excess energy loss on account of the higher distribution loss, the approved power purchase cost is worked out as shown below.

Table 8
Power Purchase Cost approved for the year 2023-24

Sl No	Particulars	Approved in Truing up
1	Actual Energy sales (lakh units)	321.20
2	Approved Distribution loss (%)	1.50%
3	Power purchase unit required from KSEB Ltd at approved distribution loss (lakh units) (321.20/98.50*100)	326.09
4	Actual Power Purchase Units (lakh units)	326.52
5	Power Purchase cost from KSEB Ltd (Rs. In lakh)	2037.24
6	Average cost of purchase (Rs. /kWh) (5/4)	6.24
7	Excess distribution loss (in lakh units)	0.43
8	Excess Distribution Loss (Rs. lakh) (6*7)	2.67
9	Power purchase approved for 2023-24 (5-8) (Rs. lakh)	**2034.57**

24. ***Accordingly, the Commission hereby approves Rs.2034.57 lakh as power purchase cost for the year 2023-24.***

Operation & Maintenance expenses

25. Operation & Maintenance expenses are controllable expenses and include expenses of Employee cost, Repair & Maintenance Expenses and Administrative & General Expenses. The Commission while approving the ARR & ERC for the control period had approved the O&M expenses of Rs.139.99 lakh as per the normative level and had stated that any additional expenses relating to uncontrollable factors or one-time expenses can be considered at the time of Truing Up of accounts only after prudence check by the Commission. The licensee has claimed the O&M expenses over and above the norms fixed by the Commission. The comparison of O&M expenses with previous years is tabulated below;

Table 9
Comparison of O&M Expenses (Rs. Lakh)

Particulars	2021-22		2022-23		2023-24	
	For Truing Up	Trued Up	For Truing Up	Trued Up	ARR Approved	For Truing Up
Employee Cost	61.68	60.55	77.35	73.46	74.87	73.11
R & M Expenses	48.01	45.81	60.74	52.62	44.78	50.81
A & G Expenses	57.37	32.70	55.87	28.93	20.34	56.64
Total	**167.06**	**139.06**	**193.96**	**155.01**	**139.99**	**180.56**

26. An analysis of the three items constituting the head O&M expenses indicates the nature of each of the three items of expenditure and its relevance to the actual operational requirement of the Electricity distribution business. Each component of the Operation & Maintenance Expense is taken up separately for analysis.

Employee cost

27. The employee cost claimed by for the year is lower than the norms approved by the Commission. The licensee for the year 2023-24 has claimed an amount of Rs.73.11 lakh as against Rs.74.87 lakh approved in the Order on ARR &ERC. The major portion of the Employee Cost is towards Basic salary, DA, Earned leave encashment, Medical Reimbursement and Provident fund contribution etc. The Commission while truing up the accounts in 2022-23 had approved Rs. 73.46 lakh as the employee cost considering the actual escalation of 7.06% in the year 2022-23. The details of the claim made by the licensee are tabulated below.

Table 10
Comparison of Employee Cost (Rs. Lakh)

Particulars	2021-22		2022-23		2023-24
	For Truing Up	Trued Up	For Truing Up	Trued Up	For Truing Up
Basic Salary	23.40	60.55	24.31	**73.46** considering the actual	24.25
Dearness Allowance (DA)	18.59		14.80		15.25
House Rent Allowance	1.97		1.71		1.46
Conveyance Allowance	1.35		1.54		1.55

Earned Leave Encashment	6.96		4.54	escalation of 7.06%	4.97
Other Allowances	0.13		0.14		0.14
Medical Reimbursement	3.69		3.36		2.40
Staff welfare expenses	0.45		0.32		0.12
CGRF Expenditure	-		16.90		16.11
Payment to electrician	-		-		2.06
Net Employee Costs	**56.54**		**67.61**		**68.31**
Provident Fund Contribution	4.85		4.35		4.19
Gratuity Payment	0.28		5.39		0.61
Gross Employee Expenses	**61.68**	**60.55**	**77.35**	**73.46**	**73.11**

28. RPIL has apportioned the salary and allowances paid to employees to electricity distribution business and the allocation considered to electricity distribution business are shown below.

Table 11
Apportionment of Employee Cost for 2023-24

Designation	Actual Employee Cost during (Rs.Lakh)	Percentage apportioned to electricity distribution	Employee Cost apportioned to Truing Up (Rs.Lakh)
Managing Director	12.59	50%	6.30
CFO& CS	18.99	60%	11.40
Asst Manager (Adm.)	19.64	50%	9.82
Asst Manager (Electrical)	12.81	100%	12.81
Asst. Resident Engineer	7.60	100%	7.60
Accounts Officer	7.83	80%	6.26
Electrician	2.06	100%	2.06
General Administrative Expenses	0.24	50%	0.12
Premium for Gratuity	1.22	50%	0.61
Expenses of CGRF	16.11	100%	16.11
Total Employee Cost	**99.09**		**73.11**

29. It is seen that compared to the previous years, the licensee has claimed an additional expenses of Rs.16.11 lakh as 'CGRF Expenditure' which is a significantly high amount. The licensee has stated that the charges of the Nodal officer reporting to BEE and the chairperson of the CGRF have been taken over by the Managing Director of the licensee and has apportioned the expenses. The licensee has apportioned the employee cost as follows;

Table 12
Salary Apportioned to the CGRF-RPIL

Designation	Percentage apportioned to electricity distribution	Actual Employee Cost (Rs.Lakh)	Employee Cost apportioned to CGRF (Rs.Lakh)
Managing Director	50%	12.59	6.29
EA to MD & Asst Manager (Adm.)	50%	19.64	9.82
Total Expenses of CGRF (Rs. lakh)			**16.11**

30. Ultimately, the total salary (Rs.12.59 lakh + Rs.19.64 lakh) of the MD and Assistant Manager (Admin) has been allocated to the Electricity Distribution business under the head CGRF (Rs.16.11 lakh) and Electricity distribution (Rs.6.30 lakh + Rs.9.82 lakh). This has resulted in non-allocation of any amount by way of salary of MD and Assistant Manager (Admin) to the Main park Business though their time and efforts are utilised for Park Business. KSEB Ltd had also raised this issue in their comments. In response, the licensee, vide letter dated 04.02.2025, withdrew the CGRF expenses amounting to Rs.16.11 lakh and submitted the revised Form. Accordingly, the revised employee cost submitted by the licensee stands at Rs.60.02 lakh. However, the Commission noticed that, if the CGRF expenses of Rs.16.11 lakh is deducted from the total employee cost of Rs.73.11 lakh, the net amount would only be Rs.57.00 lakh and not Rs.60.02 lakh as claimed by the licensee. On further scrutiny, the Commission noticed that as against Rs.2.06 lakh towards Payment to Electrician as claimed in the original petition, the licensee while deducting CRGF expenses revised the Payment towards Electrician as Rs.5.08 lakh without furnishing any justification for the increase of Rs.3.02 lakh. Therefore, the Commission is constrained to allow only Rs.2.06 lakh towards payment to electrician as claimed in the original petition. Accordingly, the employee cost admissible is only Rs.57.00 Lakh.

31. The Commission has examined the details furnished by the licensee and the claim in the Truing up of accounts as per the provisions of the Tariff Regulations, 2021. As per the Tariff Regulations, 2021, the licensee shall be allowed to recover the operation and maintenance expenses as per the norms specified in Annexure-7 of Tariff Regulations for each financial year of the Control Period.

32. The Annexure-7 of Tariff Regulations 2021 specifies, the base year (2021-22) norms as per Table-9 and approved norms (Third Table under para 3(iii) of Annexure-7) of the O&M expenses of RPIL. The details are given below.

Table 13
O&M Expenses as per the Tariff Regulations, 2021 (Rs. lakh)

Particulars	Base year	Control period				
	2021-22	2022-23	2023-24	2024-25	2025-26	2026-27
Employee Cost	68.62	71.68	74.87	78.21	81.69	85.33
R&M Expenses	41.05	42.87	44.78	46.78	48.86	51.04
A&G Expenses	18.64	19.48	20.34	21.25	22.20	23.18
Total	**128.31**	**134.03**	**140.00**	**146.23**	**152.75**	**159.55**

33. The paragraph-1 of the Annexure-7 of the Tariff Regulations, 2021 specifies inflation rate adopted for tariff determination for the Control Period from 2022-23 to 2026-27. Further, the 'Note' to the paragraph-1 to Annexure-7 permits that, the actual inflation will be allowed at the stage of truing up for the respective years. The relevant provisions of the Regulations, 2021 is stated below.

"Methodology adopted for specifying the Normative Operation & Maintenance (O&M) Costs for the 5-year Control Period (2022-27)

1. The O&M costs consist of:
   - *Employee cost;*
   - *Administrative & General (A&G) expenses; and*
   - *Repair & Maintenance (R&M) costs.*

The annual inflation/ escalation rate under the Control Period (2018-22) was fixed at 4.84% based on the CPI (Industrial workers) & WPI indices in the weightage ratio 70:30, for the 4-year period (2013-14 to 2016-17). Considering the 5-year MYT period in this Regulation and the subdued performance of the economy in the year 2020-21 due to the 'Covid 19' pandemic; it is proposed to fix the annual escalation factor for the 5-year MYT Control Period (2022-23 to 2026-27) as follows: -

a) The average of the increase in the CPI & WPI indices, for the 4 year period(2017-18 to 2020 -21), as given in Table- 1 below:

Table- 1
Computation of Escalation Factors for this MYT Regulation

Sl.No	***Escalation factors/ year***	***2017-18***	***2018-19***	***2019-20***	***2020-21***
1	*CPI (Industrial Workers) 2001=100*	*284.42*	*299.90*	*322.50*	*338.69*
2	*Annual CPI increase %*	*3.08*	*5.44*	*7.54*	*5.02*
3	*WPI (2011-12) series*	*114.90*	*119.80*	*121.80*	*123.40*
4	*Annual WPI increase %*	*2.96*	*4.26*	*1.67*	*1.31*
5	*CPI:WPI (70:30) weightage (%)*	*3.04*	*5.09*	*5.78*	*3.91*
6	*Average 4 Year annual increase* ***@ 70:30 weightage (%)***	***4.454%***			

Note:

The Commission notes that there has been severe fluctuations as far as the inflation indices are concerned. Further, due to the outbreak of COVID 19, and the overall depressing economic situation faced by all major industries in the country, the offtake of electricity during this period has considerably reduced and there is a glut as far as the electricity market is concerned.

However as of now, the economy seems to be on a path of revival and the increasein oil prices have also added to the overall inflation in the economy. Hence, the Commission feels that any data of past indices may not completely reflect the true economic situation in the country and its inflationary trends and therefore is of the opinion that, for the purpose of ARR&ERC for the Control Period, it would be advisable to rely on historical inflation data for the previous four years. But, the actual escalation rates based on the actual inflation existing for each year of the Control Period shall be considered at the time of the truing up of the concerned financial year and would be a more reliable basis. Hence, the actual inflation indices will be allowed at the stage of truing up for the respective years."

34. As discussed in the preceding paragraphs and as specified under Annexure-7 of the Tariff Regulations, 2021, the base year O&M expenses for the Year 2021-22 is Rs. 128.31 lakh. The average escalation rate approved by the Commission for the Control Period from 2022-23 to 2026-27 based on the average of the 'consumer price index and whole sale price index' is 4.454%. By applying the escalation rate of 4.454% on the O&M expenses of the base year 2021-22, the O&M Expenses for 2023-24 is Rs.140.00 lakh. However, the Note to the paragraph-1 to the Annexure-7 of the Tariff Regulations 2021 provides that, the escalation rates based on the actual inflation indices shall be adopted for approving the O&M expenses while truing up of the respective years. The actual inflation rate of the year 2023-24 is 3.14%.

35. Based on the actual escalation of 3.14% in the year 2023-24, the revised O&M expenses of RPIL are approved by the Commission considering actual inflation as given below.

Table 14
Revised O&M expenses of RPIL approved for the year 2023-24 considering Actual Inflation (Rs. lakh)

Particulars	2022-23	2023-24	
	Revised approved	Actual inflation	O&M Approved
Employee Cost	73.46	3.14%	**75.77**
R&M Expenses	43.95	3.14%	**45.33**
A&G Expenses	19.95	3.14%	**20.58**
Total	**137.36**		**141.68**

36. ***Therefore, the revised employee cost for the year 2023-24 after applying actual escalation is Rs.75.77 lakh. As the actual expenses claimed by the licensee is less than the approved cost, the Commission hereby approves the actual employee cost of Rs.57.00 lakh arrived as mentioned in para 30 for the year 2023-24 excluding CGRF expenses of Rs.16.11 lakh as per the petition and excludes the upward revision of payment to the electrician, which was not supported by any justification.***

Table – 15
Employee cost approved for the year 2023-24 (Rs lakh)

Particulars	As per Regulations	Revised Truing Up Petition	Trued Up
Employee Cost	74.87	60.02	57.00

R & M Expenses

37. The actual amount of Repair and Maintenance cost claimed by the licensee is Rs.50.81 lakh as against the approved amount of Rs.44.87 lakh for the year 2023-24 as per the Tariff Regulation, 2021. The comparison of R&M expenses for the years 2022-23 and 2023-24 as shown below.

Table – 16
Details of R&M expenses for the years 2022-23 and 2023-24 (Rs. lakh)

Particulars	2022-23			2023-24	
	Norms as per actual escalation	As per Truing Up Petition	Trued up	As per Regulations	As per Truing Up Petition
Lines & Cable Networks	43.95	42.89	43.95	44.78	44.63
One-time repair and maintenance	-	17.85	8.67	-	6.17
Total	**43.95**	**60.74**	**52.62**	**44.78**	**50.80**

38. The actual claim made by the licensee for the year 2023-24 is higher by Rs.6.02 lakh (Rs.50.80 lakh- Rs.44.78 lakh) when compared to the norms in Tariff Regulations, 2021. The licensee has submitted that the R&M expenses include one- time expenditure of Rs.6.17 lakh towards Oil leakage rectification and hot oil circulation of the 10/12.5MVA 110/11kV Power Transformer No-2 (Rs.4.59 lakh) and Purchase of Pole assembly for 11kV Vacuum Circuit Breaker (Rs.1.59 lakh). The licensee has stated that these R&M Expenses are carried out on emergency basis and not routine maintenance expenses. The Commission while truing up the accounts for 2022-23 had approved Rs.52.62 lakh as claimed by the licensee. The split-up details of the repair and maintenance expenses claimed by the licensee is tabulated below;

Table – 17
Split up of R&M expenses for the year 2023-24

Particulars	(Rs. in Lakhs)
General repair & maintenance including service of O&M of substation	44.63
Sub Total	**44.63**
One time Repair & maintenance	
Oil leakage rectification and hot oil circulation of the 10/12.5MVA 110/11kV Power Transformer No-2	4.59
Purchase of Pole assembly for 11kV Vacuum Circuit Breaker	1.59
Sub Total	**6.17**
Total R&M Expenses	**50.80**

39. ***As the R&M expenses excluding one time expenses claimed by the licensee amounting to Rs.44.63 lakh is less than the escalated norm of Rs.45.33 lakh, the Commission hereby approves the actual claim of Rs.44.63 lakh.***

40. As per the details submitted by the licensee, one- time expenditure of Rs.6.17 lakh includes Oil leakage rectification and hot oil circulation of the 10/12.5MVA 110/11kV Power Transformer No-2 (Rs.4.59 lakh) and Purchase of Pole assembly for 11kV Vacuum Circuit Breaker (Rs.1.59 lakh).

41. RPIPL awarded the overhauling of 10/12.5 MVA, 110/11 kV Power Transformer No.2 during FY 2023-24 to M/s Excel Electrical Equipment's for Rs.3.89 + 18% GST, and the work was completed on 02.06.2023 for Rs.4.59 lakh. During power equipment

testing in 2022-23, the R phase of an 11 kV VCB was found faulty, and based on the OEM's recommendation, RPIPL replaced the R phase pole assembly through M/s Brown Electrical Enterprises for Rs.1.59 lakh (inclusive of GST).

42. It is pertinent to note that KSEB Ltd in their comments on the petition had stated that the claim of the licensee under R&M expense is higher than the norms approved by the Commission. It was also stated that a one-time repair on the same transformer was claimed by RPIPL in FY 2022-23, and another repair was claimed for FY 2023-24. RPIPL clarified that the material purchase (transformer oil and gaskets) was made in FY 2022-23 and booked as one-time R&M expenses, while the actual repair work, delayed due to re-tendering, was completed in FY 2023-24 and booked accordingly. Thus, the same repair was executed over two financial years, with costs accurately accounted for in the respective Truing Up petitions.

43. As per the provision of Tariff Regulations, 2021, any one-time expenditure can be allowed by the Commission in addition to the norms after-prudence check, considering the circumstances, details and justification furnished by the licensee. The relevant provisions are stated below.

80. Operation and Maintenance expenses. –

(3) Any one-time Operation and maintenance expenditure of a special nature not in the form of routine repair and maintenance, if any, if required and is undertaken by the distribution licensee, expenses for such maintenance may be allowed by the Commission after prudence check, considering the circumstances, details and justification furnished by the Distribution business/ licensee for incurring such an expenditure, to the satisfaction of the Commission.

44. Considering the above provisions, the Commission noted that, the expenses of Oil leakage rectification and hot oil circulation of the 10/12.5MVA 110/11kV Power Transformer No-2 (Rs.4.59 lakh) and Purchase of Pole assembly for 11kV Vacuum Circuit Breaker (Rs.1.59 lakh) can be considered as One-time expenses (Total Expenses of Rs.6.17 lakh) for the year 2023-24.

45. After examining the details and explanations furnished by the licensee and the comments of KSEB Ltd in the matter, the Commission approves the one-time repair and maintenance charges of Rs.6.17 lakh for the year 2023-24. ***The Commission after considering the details in the petition and clarifications submitted by the licensee as well as comments of KSEB Ltd, hereby approves Rs.50.80 lakh (Rs. 44.63 lakh+ Rs.6.17 lakh) as R&M expenses for the year 2023-24 as shown below. –***

Table-18
R&M expenses approved for truing up 2023-24 (Rs lakh)

Particulars	As per Regulations	As per Truing UpPetition	Trued Up
R&M Expenses	44.78	50.80	50.80

Administration & General expenses

46. The A&G expenses claimed by the licensee as per the petition for truing up of Accounts is Rs.56.64 lakh as against the approved amount of Rs.20.34 lakh in Tariff Regulations, 2021. The Commission while truing up the accounts for the year 2022-23 had approved an amount of Rs.28.93 lakh as against the claim of Rs.55.87 lakh. The claim under A&G expenses include various items such as rent, rates and taxes, insurance, legal charges, vehicle running expenses, license fee, security arrangement etc. A comparison of the Administrative and General expenses claimed for over the previous years is tabulated hereunder.

Table 19
Comparison of A&G expenses over the years (Rs. lakh)

Particulars	2021-22		2022-23		2023-24
	Truing Up claim	Trued Up	Truing Up claim	Trued Up	Truing Up claim
Rent Rates & Taxes	0.81	32.70	0.47	28.93	0.57
Insurance	3.13		3.84		3.43
Telephone & Postage, etc.	0.37		0.38		0.37
Audit Fees	1.59		3.32		1.93
Consultancy charges (Energy Audit)	1.18		1.03		1.65
Other Professional charges	1.67		0.30		0.05
Conveyance	0.34		0.39		0.69
Vehicle Running Expenses Truck / Delivery Van	8.03		8.35		6.19
Electricity charges	0.57		0.95		0.96
Water charges	0.76		0.45		0.33
Printing & Stationery	0.51		0.88		0.81
Advertisements, exhibition publicity	1.29		0.39		2.78
Miscellaneous Expenses	2.05		1.92		2.67
Office Expenses	1.41		1.22		1.82
License Fee and other related fee	2.04		3.90		3.27
V-sat, Internet and related charges	0.01		-		-
Security arrangements	6.94		9.16		9.86
Others (WDV of PT failed)	5.15		0.15		0.47
Gross A&G Expenses	**37.85**	**32.70**	**37.10**	**28.93**	**37.85**
Ele. Duty u/s 3(I), KED Act	19.52	-	18.77	-	18.79
Net A&G Expenses	**57.37**	**32.70**	**55.87**	**28.93**	**56.64**

47. The licensee has also booked an amount of Rs.1.65 lakh paid to Kerala State Productivity Council, shown as Consultancy Charges in A & G Expenses with regard to compliance with the Bureau of Energy Efficiency (Manner and Intervals for Conduct of Energy Audit in electricity distribution companies) Regulations, 2021. As per the said Regulation, the BEE had mandated the distribution licensees to submit quarterly periodic energy accounting report signed by the Energy Manager of the Distribution licensee. ***The Commission is of the opinion that this expense is admissible beyond the norms fixed as per Para 35 of this Order.***

48. The licensee has also considered duty under 3(1) of Kerala Electricity Duty Act, 1963. The Commission in the previous orders had stated that Duty under section 3 cannot be passed on to the consumers in view of the statutory provisions of the Kerala Electricity Duty Act, 1963. ***Hence, the claim of Rs.18.79 lakh is disallowed.***

49. ***Therefore, the Commission hereby approves Rs.22.23 lakh as A&G expenses for the year 2023-24 as against Rs.56.64 lakh claimed by the licensee.***

Table-20
A&G expenses approved for truing up 2023-24 (Rs lakh)

Particulars	As per Regulations	As per Truing Up Petition	Trued Up
A&G expenses	20.34	56.64	20.58
Energy Audit Fee	-		1.65
Total	**20.34**	**56.64**	**22.23**

O&M Expenses Approved

50. The O&M expenses, which includes Employee costs, R&M expenses and A&G expenses, totaling into Rs.130.03 lakh is approved by the Commission for the year 2023-24 as against Rs.167.47 lakh claimed by the licensee. The approved O&M expense of Rs.130.03 lakh is lower than the revised norms approved by the Commission which is Rs.141.68 lakh. Hence there is a gain of Rs.11.65 lakh (Rs.141.68 lakh – Rs.130.03 lakh). As per Regulation 14 of the Tariff Regulations, 2021, the aggregate gain on the controllable parameters is to be shared in the ratio of 2:1 i.e., 2/3rd of gain is to be retained by the licensee and 1/3rd is to be passed on to the consumers. The relevant portion of the Regulation is shown below.

> *14. Mechanism for sharing of gains or losses on account of controllable factors.*
>
> *(1) The aggregate gain to the generating business/company or transmission business/licensee or distribution business/licensee or State Load Despatch Centre, as approved by the Commission, on account of controllable factors shall be dealt with in the following manner: -*
>
> *(i) one-third of the amount of such gain as approved by the Commission shall be passed on to the consumers as rebate in the tariff ;*
>
> *(ii) the remaining two third of the amount of such gain, may be utilized at the discretion of the generating business/ company or transmission business/ licensee or distribution business/ licensee:*

51. The Commission had allowed retaining the benefit of efficiency gain to the licensee due to the O&M expenses incurred being lesser than the norms fixed and accordingly is eligible for the benefit as per Regulation 14 of Tariff Regulations 2021. Hence, the Commission hereby approves Rs.139.04 lakh as the Operation and Maintenance expenses after considering the gains on O&M expenses for the year 2023-24 as shown below.

Table 21
O&M Expenses approved for the year 2023-24

Sl.no	Particulars	Rs. lakh
1	Total revised O&M expenses as per the Tariff Regulations	141.68
2	Total O&M expenses Trued Up	130.03
3	Total Efficiency Gain (1-2)	11.65
4	Efficiency Gain to be retained by the licensee (2/3rd of (3)) = 11.65*2/3	7.77
5	**Approved O&M expenses for the Truing Up of accounts (2+4)**	**137.80**

Asset Additions during the year 2023-24

52. In the petition for truing up for the year 2023-24, the licensee has claimed asset addition of Rs.8.99 lakh. The licensee has stated that the expenditure for the investments is met from the equity of the company. The licensee has submitted that, during FY 2022-23, RPIPL replaced six old HT TOD meters with 0.2s class meters at the 110 kV substation, incurring an expenditure of Rs.2.26 lakh against an approved cost of Rs.2.40 lakh. An 11 kV retrofit VCB was also purchased from ABB's channel partner, Brown Electricals, for Rs.4.59 lakh, replacing an existing SF6 breaker. A multifunction printer/copier/scanner was procured for Rs.1.60 lakh. Additionally, in FY 2023-24, a 65" LED TV with a mounting trolley was purchased for Rs.0.54 lakh to facilitate official meetings and hearings. The split-up details of the asset additions during the year 2023-24 are shown below.

Table 22
Assets additions during the year 2023-24

Particulars	Amount (Rs. in Lakhs)
HT TOD Meter	2.26
11 kV retrofit Vacuum Circuit Breaker in place of SF6 Circuit Breaker	4.59
Heavy duty photocopier	1.60
LED TV	0.54
Total	**8.99**

53. ***Accordingly, based on documents submitted to substantiate the capital expenditure, the Commission hereby approves Rs.8.99 lakh for inclusion in the asset base. The licensee has to meet the expenditure from the accumulated surplus and hence the licensee is not eligible for depreciation and interest on normative loan for the approved assets.***

Depreciation

54. The depreciation claimed by the licensee for the year 2023-24 is Rs.31.77 lakh as against Rs.29.80 lakh approved in the Order on ARR&ERC. The licensee has claimed an asset addition of Rs.8.99 lakh for the year 2023-24. The licensee has

stated that depreciation has been calculated as per the Regulation 27 of the MYT Regulations 2021 and the depreciation has been computed annually based on the straight-line method at the rates specified in Annexure 1 to the Regulations for the first thirteen financial years from the date of Commercial operation and the remaining depreciable value spread over the balance useful life of the assets. The details of claim made by the licensee are shown below.

Table 23
Depreciation claimed for the year 2023-24 (Rs. lakh)

Asset Group (as per notification in respect of depreciation)	Rate of depreciation (%)	Gross fixed assets				Current year depreciation
		At the beginning of the year	Additions during the year	Adjustment & deductions	At the end of the year	
Land & land rights	0	26.85			26.85	0.00
Civil works for EHT Substation	3.34	11.84			11.84	2.04
HV Distribution system/Transmission line	5.28	99.00			99.00	1.52
HT Distribution lines	5.28	172.24			172.24	5.37
Sub-station equipment	5.28	497.75	6.85	0.42	504.18	15.23
Others (Testing Equipment)	5.28	19.88			19.88	1.04
LT Distribution system	5.28	0.28			0.28	0.02
Switchgears, Control gear & Protection	5.28	34.70			34.70	0.74
Batteries	5.28	0.44			0.44	0.10
Others	5.28	0.62	0.54		1.16	0.01
Furniture & fixtures for Substation	6.33	0.77			0.77	0.03
IT Equipment	15	8.81	1.60		10.41	1.27
Any other items		228.00			228.00	4.40
Gross Asset		**1,101.19**	**8.99**	**0.42**	**1109.75**	**31.77**

55. The Commission, in its Order dated 03.07.2025 in Petition No. OP 14/2018 and OA 11/2017 (Remand), issued in compliance with the judgment dated 07.03.2024 of the Hon'ble APTEL in Appeal Nos. 237 and 267 of 2022, has determined that the total capital investment in the Distribution business as on 31.03.2015 is Rs.923.43 lakh. It was observed that a portion of the cost of distribution infrastructure was recovered by the licensee through upfront lease premiums collected from consumers within the park. Accordingly, an amount of Rs.766.74 lakh, proportionate to the GFA of the distribution business, has been treated as consumer contribution towards distribution assets. Only the net GFA of Rs.156.69 lakh is considered eligible for depreciation and interest on normative loan. The details related to financial years from 2016-17 to 2023-24 as furnished by the licensee is provided under Table 3. However, the Commission for calculating the balances eligible for depreciation, interest on normative loan etc., has taken the figures from the audited

financials submitted by the licensee vide submission dated 19.08.2025. Also, from the year 2019-20 onwards the cumulative lease premium collected exceeds the total amount of fixed assets of RPIL. The Commission, as specified in the MYT Regulations decided that all the balances till the end of the control period ending on 2021-22 shall be considered to arrive at the opening figures of the present Control Period. Accordingly, the balances at the end of the financial year 2021-22 (31.03.2022) is arrived as shown below:

Table 24
Computation of Net FA of distribution business (Rs. In lakh)

Year	Total Fixed Assets of RPIL at the end of the year	Cumulative lease premium collected	Reserves & Surplus at the end of the year	GFA of Distribution business at the end of the year	Proportionate lease premium (Consumer contribution)	Net GFA of Distribution business	Cumulative depreciation	NFA
1	2	3	4	5	6 (3/2X5)	7 (5-6)	8	9 (7-8)
2004-05	966.20	18.65	43.68	646.33	12.48	633.85	-	
2005-06	1043.75	290.77	209.04	830.92	231.48	599.44	18.95	580.49
2006-07	1250.83	382.07	234.91	856.37	261.58	594.79	44.60	550.19
2007-08	1730.91	975.87	617.56	844.09	475.89	368.20	70.97	297.23
2008-09	1763.18	1386.29	852.84	856.37	673.32	183.05	98.04	85.01
2009-10	1900.17	1520.40	1014.65	856.37	685.21	171.76	125.11	46.65
2010-11	2107.43	1576.80	961.43	903.07	675.69	227.38	152.84	74.54
2011-12	2059.86	1576.80	788.10	870.30	666.21	204.09	180.00	24.09
2012-13	2082.40	1576.80	705.62	915.84	683.48	232.36	206.82	25.54
2013-14	2088.63	1576.80	732.94	896.58	676.87	219.71	237.95	-18.24
2014-15	2093.21	1738.02	821.50	923.43	766.74	156.69	269.36	-112.67
2015-16	2170.31	1738.02	826.77	995.89	797.53	198.36	315.05	-116.69
2016-17	2163.00	1738.02	978.39	995.89	800.22	195.67	362.40	-166.73
2017-18	2194.70	1833.67	1153.06	1012.02	845.54	166.48	412.34	-245.86
2018-19	2276.36	1835.22	883.51	1027.48	828.36	199.12	461.10	-261.98
2019-20	2310.96	2503.41	1574.39	1036.95	1123.30	-86.35	484.59	-570.94
2020-21	2325.50	2578.99	1574.30	1044.31	1158.15	-113.84	509.03	-622.87
2021-22	2382.64	4030.56	2674.85	1098.61	1858.45	-759.84	536.69	-1296.53

56. As shown in the above table, the Gross Fixed Assets eligible for depreciation at the end of the year 2021-22 is (-)Rs.759.84 lakh. Also, the Net Fixed Assets at the end of the FY 2021-22 stands at (-)Rs.1296.53 lakh after deducting the cumulative depreciation of (-)Rs.536.69 lakh. On examination of the GFA addition during the control period, including for the FY 2023-24, it is noted that even after the said addition, the NFA remains negative

57. ***Accordingly, the Commission observes that the licensee is not entitled to claim depreciation for the years subsequent to FY 2021-22, till the NFA becomes positive. Therefore, the Commission disallows the claim of the licensee towards depreciation for FY 2023-24.***

Interest and Finance Charges

58. The licensee has claimed Rs.62.73 lakh towards interest and finance charges in the Truing Up petition for 2023-24 including Rs.61.68 lakh as interest on normative loan and Rs.1.05 lakh as bank charges for the security provided to KSEB Ltd. The details are given below:

Table 25
Interest and Finance Charges over the years (Rs. lakh)

Particulars	2021-22		2022-23		2023-24
	As per Truing Up Petition	Trued Up	As per Truing Up Petition	Trued Up	As per Truing Up Petition
Interest on Normative Loan	59.19	13.20	61.59	10.96	61.68
Bank Charges	0.52	0.52	0.94	0.94	1.05
Total	**59.71**	**13.72**	**62.53**	**11.90**	**62.73**

Interest on Normative Loan

59. The licensee has claimed the normative interest of Rs.61.68 lakh for the year 2023-24, which is inclusive of interest on the additional capitalization made during the year. The interest charges claimed by the licensee are shown below.

Table-26
Interest on normative loan claimed for 2023-24

Particulars	Actual
Gross Fixed Asset - Opening	1101.19
Net Additions during the Year	8.98
Net Additions during the year on pro- rata basis	2.28
70% Capital cost approved by Commission	772.43
Cumulative repayment of Normative Loan upto previous year	35.09
Net Normative loan - Opening	735.36
Increase/Decrease due to ACE/de-capitalization during the Year	0.00
Repayments of Normative Loan during the year	31.77
Net Normative loan - Closing	705.57
Average Normative Loan	721.45
Weighted average Rate of Interest of actual Loans	8.55
Interest on Normative loan	**61.68**

60. As stated in para 55 of this Order, the Commission has issued the order dated 03.07.2025 in Petition No. OP 14/2018 and OA 11/2017 (Remand), issued in compliance with the judgment dated 07.03.2024 of the Hon'ble APTEL in Appeal Nos. 237 and 267 of 2022. As per para 34 and 35 of the said order, it is decided by the Commission that no interest on normative loan shall be allowed, since the computation of normative loan, as per Regulation 17(1), after deducting the consumer contributions recovered in the form of upfront lease premium and adjusting the cumulative depreciation, results in a negative balance as on 31.03.2015. Accordingly, based on the considered decision of the Commission in para 55 of this Order, the Normative loan admissible as on 31.03.2022 is shown below:

Table-27
Details of Equity and Normative Loan of the Licensee (Rs. lakh)

Year	Capital cost (GFA) of Distribution business at the end of the year	30% of Capital cost to be treated as equity	70% of GFA	Proportionate lease premium	Net GFA for Normative Loan	Cumulative depreciation	Normative loan admissible
1	2	3 (2X30%)	4 (2X70%)	5	6	7	8 (6-7)
2004-05	646.33	193.9	452.43	12.48	439.95	-	-
2005-06	830.92	249.28	581.64	231.48	350.16	18.95	-
2006-07	856.37	256.91	599.46	261.58	337.88	44.6	-
2007-08	844.09	253.23	590.86	475.89	114.97	70.97	44.00
2008-09	856.37	256.91	599.46	673.32	-73.86	98.04	-171.9
2009-10	856.37	256.91	599.46	685.21	-85.75	125.11	-210.86
2010-11	903.07	270.92	632.15	675.69	-43.54	152.84	-196.38
2011-12	870.30	261.09	609.21	666.21	-57.00	180.00	-237.00
2012-13	915.84	274.75	641.09	683.48	-42.39	206.82	-249.21
2013-14	896.58	268.97	627.61	676.87	-49.26	237.95	-287.21
2014-15	923.43	277.03	646.40	766.74	-120.34	269.36	-389.70
2015-16	995.89	298.77	697.12	797.53	-100.40	315.05	-415.45
2016-17	995.89	298.77	697.12	800.22	-103.10	362.40	-465.50
2017-18	1012.02	303.61	708.41	845.54	-137.13	412.34	-549.47
2018-19	1027.48	308.24	719.24	828.36	-109.13	461.10	-570.23
2019-20	1036.95	311.08	725.86	1123.30	-397.44	484.59	-882.03
2020-21	1044.31	313.29	731.02	1158.15	-427.13	509.03	-936.16
2021-22	1098.61	329.58	769.03	1858.45	-1089.42	536.69	-1626.11
2022-23	1101.19	330.36	770.83	1745.27	-974.44	566.75	-1541.19

61. As shown in the above table, the net amount of normative loan is negative and there is no eligible loan component on which interest can be permitted. This approach is consistent with the methodology adopted by the Commission in similar cases and ensures uniformity in the treatment of capital cost financing across licensees. Also, the Commission has decided not to clawback the excess interest on normative loan allowed till the FY 2022-23.

62. ***Therefore, the Commission hereby disallows the claim of licensee for interest on normative loan for the year 2023-24.***

Bank charges

63. The licensee has claimed an amount of Rs.1.05 lakh during the year 2023-24 on account of bank guarantee and letter of credit charges as demanded by KSEB Ltd and other bank charges. The claim of charges for bank guarantee and letter of credit is for the double security mechanism proposed in Article 8.9 and 8.12 of the PPA. The licensee has stated that KSEB Ltd has insisted double security mechanism ie.,

one in the form of LC equivalent to 1.05 times the average billing demand and the second one in the form of security deposit equivalent to two months' electricity charges. Hence the licensee had provided both security deposit and opened LC in favour of KSEBL incurring bank charges of Rs.1.05 lakh during the year.

64. ***After examining the details and clarification furnished by the licensee, the Commission hereby approves Rs.1.05 lakh as Bank Charges for the year 2023-24 as claimed by the licensee.***

65. The Interest and Finance charges approved for the year 2023-24 is shown below.

Table-28
Interest and Finance Charges approved for the year 2023-24 (Rs. lakh)

Particulars	Truing up petition	Trued Up
Interest on Normative Loan	61.68	0.00
Bank Charges	1.05	1.05
Total	**62.73**	**1.05**

66. ***Accordingly, the Interest and Finance charges approved by the Commission for the year 2023-24 is Rs.1.05 lakh as against Rs.62.73 lakh claimed by the licensee.***

Return on Equity

67. The licensee has claimed Return on Equity of Rs.46.33 lakh in the petition for Truing Up of Accounts for the year 2023-24 and has stated that RoE has been calculated at the rate of 14% on 30% of the equity at the beginning of the year and on pro rata basis for the assets put to use during the financial year. The claim made by the licensee is as follows;

Table 29
Return on Equity claimed for the year 2023-24

Particulars	(Rs. Lakh)
Equity at the beginning of the year	1101.19
Capitalisation during the year	8.98
Gross Equity at the end of the year after capital addition	1,110.18
Equity portion of capitalisation on pro- rata basis	2.28
Decrease due to de-capitalization during the Year	0.42
Equity at the end of the year on pro rata	1,103.05
Return Computation	
Return on Equity at the beginning of the year	46.25
Return on Equity portion of additional capitalisation	0.08
Total Return on Equity	**46.33**

68. As stated in para 55 and 60 of this Order, the Commission has issued an Order dated 03.07.2025 in Petition No. OP 14/2018 and OA 11/2017 (Remand), issued in compliance with the judgment dated 07.03.2024 of the Hon'ble APTEL in Appeal Nos. 237 and 267 of 2022. Considering para 34 and 35 of the said Order, it is

decided by the Commission that the Return on Equity shall be allowed strictly in accordance with Regulation 17(1), by applying the normative Debt : Equity ratio of 70:30 on the approved capital cost after deducting consumer contributions, including the upfront lease premium. Accordingly, as per table 27 the equity eligible for Return on Equity as on 31.03.2023 is Rs.330.36 lakh, as worked out based on the adjusted capital cost. Also, the Commission in the said Order had decided not to clawback the excess depreciation allowed till the FY 2022-23. In accordance with the decisions taken in the said Order, Rs.330.36 lakh shall be treated as equity for the purpose of calculating return on equity for the year 2023-24.

69. ***Thus, an amount of Rs.46.25 lakh (Rs.330.36 lakh X 14%) is approved as Return on Equity for the year 2023-24 as against Rs.46.33 lakh claimed by the licensee.***

Tax on Return on Equity

70. The licensee has claimed Rs.13.03 lakh as tax on RoE for the year 2023-24. The licensee has stated that the profit before tax according to the statement of the profit and loss account of the company prepared for the purpose of statutory audit is Rs.460.17 Lakh. Accordingly, tax expenditure for truing up has been taken in the ratio of ROE to Net profits (46.33: 460.17) which amounts to Rs.13.03 lakh. The Commission over the years have disallowed the claim, directing the licensee to produce documentary evidence to prove that income tax on account of the electricity distribution business has actually been paid.

71. Regulation 31(2) of the Tariff Regulations, 2021, states that the difference between the Income Tax on regulated business actually paid and that approved by the Commission in the Aggregate Revenue Requirement can be allowed subject to prudence check in the Truing Up process. The Commission notes that, as per Regulation 31(3), the tax on any income other than from the regulated business, shall not in any circumstances be allowed to be recovered through Aggregate Revenue Requirements.

72. The Commission has carefully examined the licensee's claim in the petition and the audited financial statements of the Company and Form D P&L Profit & Loss Account of the Distribution Business. The audited financial statements reveal that the Company is not maintaining any separate or segment accounts for the electricity distribution business and the licensee has not authentically established as to whether any income tax has actually been paid on the claimed return on equity. ***Accordingly, the Commission provisionally disallows the claim of Rs.13.03 lakh towards Tax on Return on Equity. In order to establish this payment, the Commission hereby directs that the licensee shall produce documentary evidence to prove that income tax on account of the electricity distribution business has actually been paid.***

Revenue from Sale of Power

73. As per the petition, the licensee has claimed total revenue from sale of power of Rs.2303.50 lakh for a sale of 316.18 lakh. During the previous year the licensee had claimed a total revenue of Rs.2226.11 lakh for a sale of 315.15 lakh units. A category wise comparison of the revenue from sale of power for the years 2022-23 and 2023-24 is as shown below:

Table 30
Details of Revenue from Sale of Power for 2022-23 & 2023-24

Particulars	2022-23 Trued Up				2023-24 For Truing Up			
	No. of Consumers	Energy Sales (Lakh Units)	Revenue Rs.Lakh	Avg. realisation (Rs/kWh)	No. of Consumers	Energy Sales (LakhUnits)	Revenue Rs.Lakh	Avg. realisation (Rs/kWh)
LT IV A	25	23.96	164.88	6.88	24	32.10	224.90	7.01
LT VI B	1	0.19	1.76	9.25	1	0.20	1.75	8.74
LT VI F	12	1.26	13.48	10.70	13	1.25	13.28	10.59
LT VII A	6	0.25	2.55	10.21	7	0.40	3.88	9.70
LT VI G	-	-	-	-	1	0.03	0.24	
Street Light	6	0.21	1.09	5.18	1	0.40	1.69	4.73
HT-1	23	289.28	2042.35	7.06	25	281.80	2057.76	7.30
Total	**73**	**315.15**	**2226.11**		**72**	**316.18**	**2303.50**	

74. Compared to the previous year, there is increase in the sales and revenue. The average realization has also increased when compared to the previous year. As per the above table, the majority of sales pertain to the HT category. KSEB Ltd in their comments has stated that, though the number of sales of LT VI B has increased but the revenue has shown decrease even when there was tariff revision during the year. It was also mentioned that there was decrease in the average realization of Street light category. Licensee in their reply to KSEB Ltd's remarks, has clarified that, the discrepancy arose from rounding off energy sales to two decimal places as per MYT Regulations 2021, which require reporting in MU. Due to low sales volumes, this led to misleading variations. RPIPL confirmed that revenue was correctly reported in the Truing Up petition and the variation in average realization was solely due to rounding.

75. The Commission considers the submissions made by the licensee. ***Accordingly, the Commission hereby approves the revenue from sale of power at Rs.2303.50 lakh as claimed by the licensee for the purpose of Truing Up of Accounts for the year 2023-24.***

Wheeling Charges

76. The licensee has claimed wheeling charge of Rs.3.26 lakh for wheeling power of 5.00 lakh units to M/s M Fuel in the petition. The licensee has also stated that

no consumers of RPIL have availed open access energy during the year. ***Accordingly, the Commission hereby approves the actual wheeling charges of Rs.3.26 lakh received for the year 2023-24 as claimed by the licensee.***

Non-tariff Income

77. The non-tariff income claimed during the year 2023-24 is Rs.10.66 lakh. The split-up details of Non-Tariff income claimed are shown below.

Table 31
Details of Non-Tariff Income for the years 2022-23 and 2023-24 (Rs. lakh)

Particulars	2022-23		2023-24
	For Truing Up	Trued Up	For Truing Up
Miscellaneous recoveries	1.14	1.14	0.85
Income from sale of scrap	6.33	6.33	-
Insurance from Insurance claim	0.17	0.17	
Commission for collection of electricity duty	0.51	0.51	1.10
Interest on investments, fixed and call deposits	0.59	0.59	8.70
Interest on Deposit with KSEB	7.37	7.37	
Interest on accumulated Surplus	-	35.34	0.00
Total	**16.11**	**51.45**	**10.66**

78. The licensee has not considered the interest on accumulated surplus as part of non-tariff income. The licensee in the petition has stated that the revenue surplus arrived by the Commission in the Truing Up orders has been excluding the statutory remittance of security deposit with KSEB Ltd. The company had kept security deposit of Rs. 173.37 lakh with KSEB Ltd till the year 2023-24. As the accumulated surplus is also included in the security deposit with KSEB Ltd, booking of interest on accumulated surplus and interest received from KSEB Ltd resulted in double booking of interest income. The licensee has requested that while calculating the interest income on accumulated surplus, the Commission may deduct the security deposit and section (3) duty totaling to Rs.400 lakh from the accumulated revenue surplus. The Commission does not accept this view and has consistently over the years approved notional interest on the accumulated surplus.

79. As per the Order on truing up of accounts for the year 2022-23, the accumulated surplus at the end of the year is Rs.796.94 lakh. The Commission has been approving the notional interest on accumulated revenue surplus at the SBI retail term deposit rate for a tenure up to one year prevailing as on 01.04.2023, which is 6.80% as on 01-04-2023. Accordingly, the interest on the revenue surplus is approved at a rate of 6.80% per annum for an amount of Rs.796.94 lakh amounting to Rs.54.19 lakh is to be provided. As against this, the licensee has claimed Rs.1.34 lakh in the

petition as interest on investment, fixed and call deposits. After deducting the same, the Commission approves Rs.52.85 lakh (Rs.54.19 lakh- Rs.1.34 lakh) as interest on accumulated Surplus. Accordingly, the total amount to be considered as Non-tariff income works out as under.

Table 32
Details of Non-Tariff Income approved for 2023-24 (Rs. lakh)

Particulars	2023-24	
	For Truing Up	Trued UP
Miscellaneous recoveries	0.85	0.85
Commission for collection of electricity duty	1.10	1.10
Interest on investments, fixed and call deposits	8.70	1.34
Interest on Deposit with KSEB		7.37
Interest on accumulated Surplus	0.00	52.85
Total	**10.66**	**63.51**

80. ***Accordingly, the total non-tariff income of Rs.63.51 lakh is approved for the year 2023-24 as against Rs.10.66 lakh claimed by the licensee***.

81. Based on the above, the approved expenditure and revenue for the year 2023-24 after Truing Up of Accounts is as shown below:

Table 33
Total Income and Expenditure after Truing Up for 2023-24 (Rs. lakh)

Particulars	ARR Approved	Revised Truing Up	Trued Up
Purchase of power	2213.30	2037.23	2034.57
Employee Cost	74.87	60.02	137.80
R & M Expenses	44.78	50.81	
A & G Expenses	20.34	56.64	
Depreciation	29.80	31.77	0.00
Interest & Fin Charges/ bank Charges	0.93	1.05	1.05
Interest on normative loan	10.17	61.68	0.00
ROE	37.80	46.33	46.25
Tax on ROE	-	13.03	0.00
Total Expenditure	**2431.99**	**2358.56**	**2219.67**
Revenue from sale of Power	2390.46	2303.50	2303.50
Wheeling Charges and Other Income	40.17	13.92	66.77
Total Income	**2430.63**	**2317.42**	**2370.27**
Revenue surplus (+) / gap (-)	**(-)1.36**	**(-)41.14**	**150.60**

Orders of the Commission

82. The Commission after considering the petition filed by M/s. RPIL for Truing Up of Accounts for the year 2023-24 and the clarifications and details provided by the licensee approves the following:

a. **Total income is Rs.2370.27 lakh**

b. **Total expenditure is Rs.2219.67 lakh**

c. **The revenue surplus for the year is Rs.150.60 lakh**

d. **The accumulated revenue surplus up to 2022-23 is Rs.796.94 lakh. Total accumulated revenue surplus till 2023-24 will be Rs.938.55 lakh (Rs.796.94 lakh + Rs.150.60 lakh – Rs.8.99 lakh)**

83. With the above, the petition is disposed of. Ordered accordingly.

Sd/-	Sd/-	Sd/-
Sri. T.K Jose	**Adv. A. J. Wilson**	**Sri. B. Pradeep**
Chairman	**Member**	**Member**

Approved for issue
Sd/-
Mohanakumar B V
Secretary(i/c)